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Managing Your Personal Finances

Budgeting, saving, banking and safe money decisions

Study notes - Concept explanations - Examples - Revision - Practice

HOW TO USE THESE NOTES

Read each concept, connect it with a real-life example, and attempt the questions without looking at the answers. These are student-friendly revision notes.

1. PERSONAL FINANCE

Personal finance means managing money available to an individual or family. It includes earning, spending, saving, borrowing and planning for future needs.

Money is limited while wants can be unlimited. Planning helps meet essential needs first and use money responsibly.

Example: A student sets aside part of pocket money for a school project before spending on snacks.

2. NEEDS, WANTS AND PRIORITIES

A need is essential for basic living or an important responsibility, such as food, basic clothing, education and necessary healthcare. A want is desirable but not essential.

Needs and wants depend on circumstances. Internet may be essential for an online class, while a premium entertainment subscription may be a want.

Before spending, ask whether it is necessary, whether it can wait, and whether buying it affects an important goal.

3. INCOME

Income is money received over a period. Sources for adults include salaries, wages, self-employment, business profits, rent and interest. Students may receive pocket money, gifts or scholarships.

Income may be regular, such as a monthly salary, or irregular, such as occasional work. A budget should reflect when money is actually received.

Gross income is before deductions; take-home income is the amount available after deductions.

4. EXPENSES

An expense is money paid for goods or services. Fixed expenses are usually similar each period. Variable expenses change, such as travel, food or electricity use.

Tracking expenses helps identify repeated small purchases that add up. Compare price, quality, usefulness, durability and total cost before buying.

5. BUDGETING

A budget is a plan estimating income and expenses for a chosen period. Steps: list expected income, list essential expenses, set a savings goal, plan optional spending with what remains, and compare actual spending with the plan.

Example: With Rs 2,000 available, a student might plan Rs 1,000 for necessary costs, Rs 400 for learning materials, Rs 300 for savings and Rs 300 for flexible spending. Adjust amounts to real needs.

Income minus expenses gives a surplus if positive or a shortfall if negative.

6. SAVING AND GOALS

Saving means keeping part of current income for future use. A goal should be specific, realistic and time-bound. Short-term goals may take months; long-term goals may take years.

An emergency fund is money kept aside for unexpected necessary expenses. Saving regularly, even a small amount, builds a useful habit.

7. BANKING AND SAFETY

Banks provide savings accounts, deposits, withdrawals and digital payments. A savings account can help keep money safer than carrying large amounts of cash.

Keep account details private. Never share an OTP, PIN, password or card security details. Use official bank apps and websites, check recipients before paying, and contact the bank promptly if something seems wrong.

8. BORROWING AND INTEREST

Borrowing means using money now and agreeing to repay it later. The principal is the amount borrowed. Interest is the cost of borrowing, usually calculated as a percentage over time.

Before borrowing, understand the rate, repayment schedule, fees and consequences of missed payments. Avoid borrowing for non-essential purchases.

Simple interest = (Principal x Rate x Time) / 100, where rate is annual percent and time is in years.

9. DIGITAL PAYMENTS

Digital payments include UPI, cards, net banking and approved mobile payment services. Verify the payee and amount before confirming.

Be cautious about unexpected links, fake customer-care numbers, screen-sharing requests and prize or refund messages. A UPI PIN authorises a payment; it is not required to receive money.

Keep transaction references for important payments and report suspicious activity through official channels.

10. INFORMED DECISIONS

Compare alternatives, total price, quality, warranty, return policy, maintenance cost and seller reliability.

Inflation is a general rise in prices over time. The same amount of money may buy fewer goods and services when prices rise.

Financial literacy is the knowledge and skills needed to make informed money decisions.

QUICK REVISION

- Personal finance covers earning, spending, saving, borrowing and planning.
- Needs are essential; wants are optional preferences.
- A budget plans expected income and expenses.
- Saving supports future goals and unexpected needs.
- Principal is borrowed money; interest is the cost of borrowing.
- Never share OTPs, PINs or passwords; verify digital payments.
- Inflation is a general rise in prices.
- Financial literacy supports responsible choices.

PRACTICE QUESTIONS WITH ANSWERS

1. Define personal finance.
Answer: Planning and managing money, including income, spending, saving, borrowing and future goals.

2. Differentiate a need and a want.
Answer: A need is essential; a want is desirable but not essential.

3. What is a budget?
Answer: A plan estimating income and expenses for a particular period.

4. Why track expenses?
Answer: To see where money goes, identify unnecessary spending and follow a budget.

5. What is an emergency fund?
Answer: Money kept aside for unexpected necessary expenses.

6. Find simple interest on Rs 1,000 at 5 percent for 2 years.
Answer: SI = (1,000 x 5 x 2) / 100 = Rs 100.

7. Give two safe digital payment practices.
Answer: Verify recipient and amount; never share OTP, PIN or password.

8. What is inflation?
Answer: A general increase in prices over time, reducing purchasing power.

9. Fixed versus variable expenses?
Answer: Fixed expenses are usually similar each period; variable expenses change.

10. Give two benefits of saving.
Answer: It helps achieve goals and provides money for unexpected needs.